TABLE 1
PLI CALCULATION FOR GLOBAL COMPANIES

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	
Incentive (%) and average incentive (%)	4.2	4.038	3.781	4.889	5.308	5.580	5.04
Incremental sales threshold	1,000	2,500	5,000	10,000	12,000	15,000	45,500
Estimated sales	1,500	3,750	7,500	15,000	18,000	22,500	68,250
PLI amount in tens of millions (est sales*Inc%)	63	151.41	283.57	733.31	955.44	1,255.5	3,442

Note: *Year-wise tapering down (Y1-0%, Y2-5%, Y3-10%, Y4-15%, Y5-20%, Y6-25%); (Credit: ICEA, MeitY)*

TABLE 2
PLI CALCULATION FOR DOMESTIC COMPANIES

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	
Incentive (%) and average incentive (%)	4.2	4.03	3.78	4.88	5.3	5.58	5.04
Incremental sales threshold	500	1,250	2,500	5,000	6,000	7,500	22,750
Estimated sales	750	1,875	3,750	7,500	9,000	11,250	34,125
PLI amount in tens of millions (est sales*Inc%)	31.5	75.7	141.78	366.66	477.72	627.75	1,721

Note: *Year-wise tapering down (Y1-0%, Y2-5%, Y3-10%, Y4-15%, Y5-20%, Y6-25%); (Credit: ICEA, MeitY)*

TABLE 3
PLI CALCULATION FOR HYBRID COMPANIES

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	
Incentive (%) and average incentive (%)	4.2	4.03	3.78	4.88	5.3	5.58	5.04
Incremental sales threshold	500	1,250	2,500	5,000	6,000	7,500	22,750
Estimated sales	750	1,875	3,750	7,500	9,000	11,250	34,125
PLI amount in tens of millions (est sales*Inc%)	31.5	75.7	141.78	366.66	477.72	627.75	1,721

Note: *Year-wise tapering down (Y1-0%, Y2-5%, Y3-10%, Y4-15%, Y5-20%, Y6-25%); (Credit: ICEA, MeitY)*

choose to start in the year 2024 or 2025 as well.

• The base year 2022-23/2023-24/2024-25 will be considered for the computation of incremental sales, as per applicability.

1. The budget allocated per category is fixed, which means the number of players will be decided based on the budget available and the PLI quoted by the applicants.

• The maximum incentive cap is as follows:

- ₹45 billion for global companies
- ₹22.5 billion for hybrid (global/domestic) companies
- ₹5 billion for domestic companies

2. PLI will be disbursed only if the applicants fulfill the eligibility criteria such as thresholds of incremental investment, net incremental sales, etc.

• Interestingly, PLI 1.0 applicants will be allowed to apply under PLI 2.0. They can choose to:

- Continue in the existing PLI scheme.
- Migrate to the new scheme and resume from the year they were in the earlier scheme (with their earlier investment counted).
- Participate as new applicants for six years (without their earlier investment being counted).

• PLI 1.0 conditions regarding sales thresholds for the global/domestic category will remain the same for the first four years.

• The annual PLI will be calculated as the ceiling, based on net incremental sales multiplied by the incentive.

• If there are overachievers in a particular year, they will receive PLI above the annual ceiling only if some players underperform.

• In the absence of overachievers in a specific year, the overall savings from that year will be carried forward to the next year to provide PLI to overachievers.

• The government has provided flexibility in the investment requirements. Companies can spread the investment over six years as per their choice. If they fall short of meeting annual investment thresholds, it is acceptable as long as the overall investment targets remain intact.

• Companies investing in contract manufacturers will also be eligible for this scheme if the contractors are producing exclusively for a single company.

3. At the time of application,

• The applicant has to provide an estimated PLI amount. The scheme considers that amount as the 'ceiling' for that year.

• To maintain 'projection discipline,' the ministry has introduced a penalty provision in case of a more than 25% difference between the estimated and actual PLI amounts for any year (25-50% difference: 5% penalty, >50% difference: 10% penalty).

While the government is leaving no stone unturned to make India a manufacturing hub for IT hardware, the observations from the implementation of the updated scheme will decide the future course of action for both the industry as well as the policymakers. EFY

Vaishali Yadav muses upon clouds, security, sustainability, integration, smartness, machines and learning—both trivially and technologically.